Practice workbook · Why and how firms grow: mergers and takeovers

Why and how firms grow: access to finance, economies of scale, spreading risk, taking over competitors, government regulation; meaning of takeover, merger and finance.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-12

1. Question 1 · part i · 6 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part i only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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1. Question 1 · part i · 6 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part i only.

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(e) Define the term producer.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working.

(2)

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1. Question 1 · part i · 6 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part i only.

Figure 1 shows the market for solar panels.

(g) Using the diagram below, draw the likely effects on the market for solar panels if the government removes an indirect tax on them. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

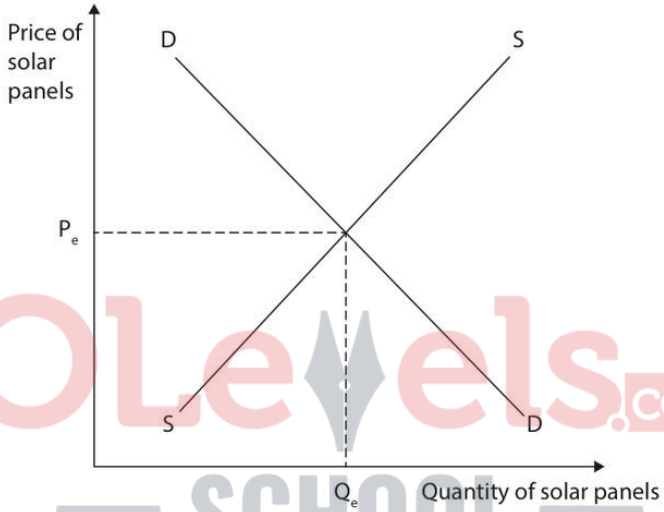


Figure 1

Casper has decided to purchase a new television.

(h) Explain **one** possible opportunity cost for Casper of this decision.

(3)

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1. Question 1 · part i · 6 marks

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Worked-example retry · Attempt part i only.

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Anastasia runs a martial arts club in District 16 of Budapest, Hungary. She offers classes to children and to adults. There are six classes a week. Following a successful few years, Anastasia is considering growing the business by opening a second club in another district of Budapest.

(i) With reference to the data above and your knowledge of economics, analyse **two** possible factors influencing Anastasia's decision to open a second club.

(6)

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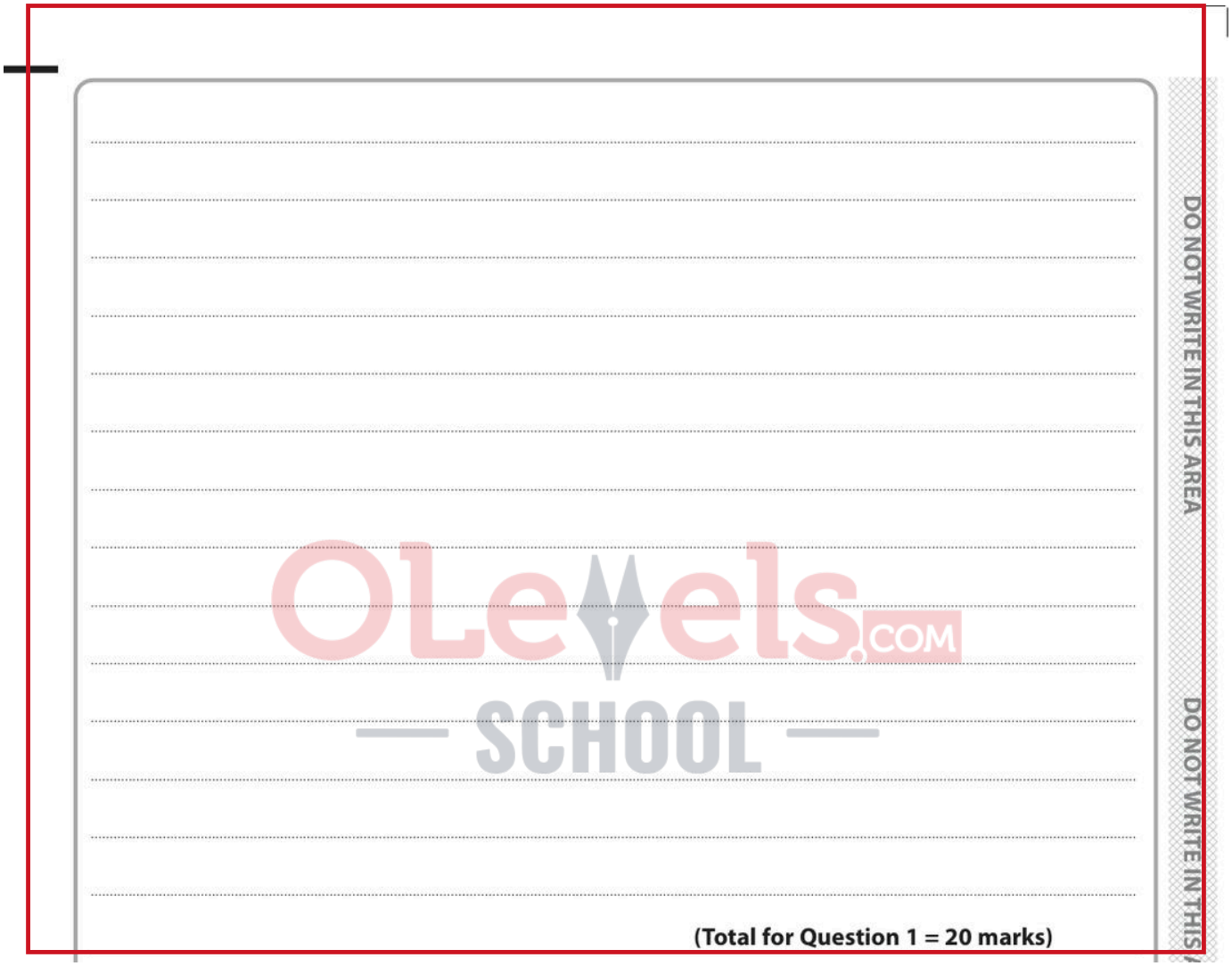
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Turn over ▶

1. Question 1 · part i · 6 marks

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Worked-example retry · Attempt part i only.



1. Question 1 · part i · 6 marks · Working and answer

Working and answer

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2. Question 1 · part i · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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2. Question 1 · part i · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part i only.

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(d) State the formula for social costs.

(1)

(e) Define the term tertiary sector.

(1)

Figure 1 shows the costs of production per month for a firm making 2,000 units.

Quantity	Total fixed costs	Total variable costs
2,000	$7 340	$4 760

Figure 1

(f) Calculate the average cost per unit for the firm when it makes 2,000 units. You are advised to show your working.

(2)

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2. Question 1 · part i · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part i only.

(g) Using the diagram below, draw the effects on the market for crops after a hurricane destroys farm land. Label the new curve, new equilibrium price and new equilibrium quantity.

(3)

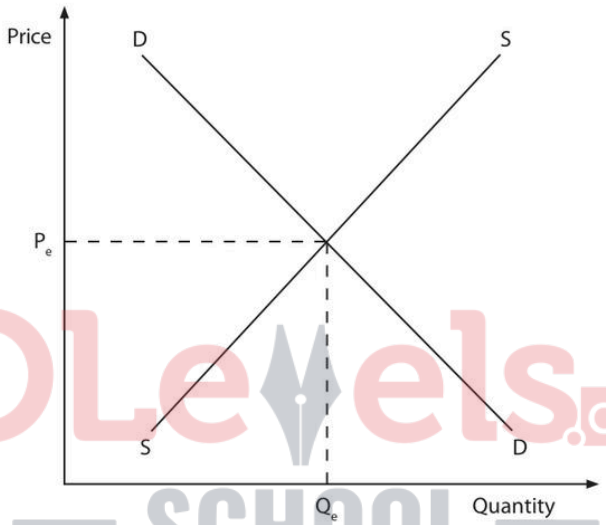


Figure 2

Concert tickets to see the most popular music artists can sell for very high prices.

(h) Explain **one** reason why the demand for these tickets might be price inelastic.

(3)

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2. Question 1 · part i · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part i only.

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Introduced in 1935, Inca Kola is a yellow-gold coloured, fizzy, soft drink that is popular all over Peru. By 1995, Inca Kola had grown to become a strong competitor of Coca-Cola. Inca Kola had a 32.9% market share compared to Coca-Cola's 32.0% in Peru.

By 2014, Coca-Cola owned 48.5% of Inca Kola shares.

(Source: adapted from Peru's 'improbable' Inca Kola wins out over Coke by Andres Schipani © Financial Times September 2014)

(i) With reference to the data above and your knowledge of economics, analyse the possible reasons for Coca-Cola purchasing shares in Inca Kola.

(6)

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(Total for Question 1 = 20 marks)

2. Question 1 · part i · 6 marks · Working and answer

Working and answer

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3. Question 2 · part f · 2 marks

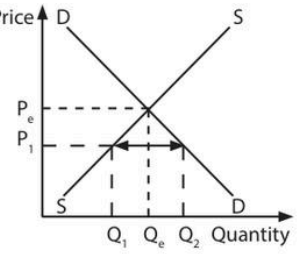
2020 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

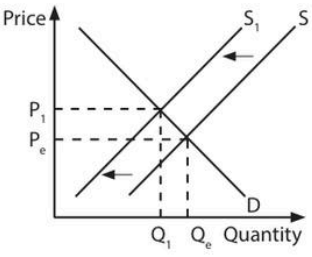
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

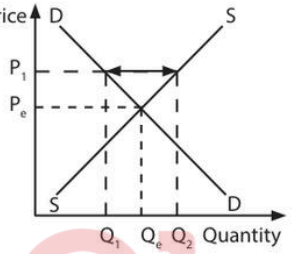
☒ **A**



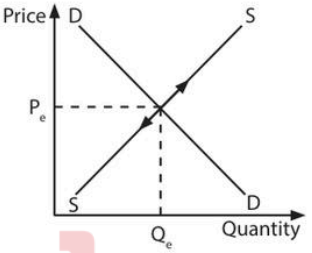
☒ **B**



☒ **C**



☒ **D**



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3. Question 2 · part f · 2 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

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(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

3. Question 2 · part f · 2 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

(f) Describe **one** factor that may influence the growth of a firm.

(2)

There are many health warnings about the dangers of eating too much sugar but some consumers continue to do so.

(g) Explain **one** reason why consumers may still make this decision.

(3)

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3. Question 2 · part f · 2 marks · Working and answer

Working and answer

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4. Question 2 · part e · 1 mark

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Further practice · Attempt part e only.

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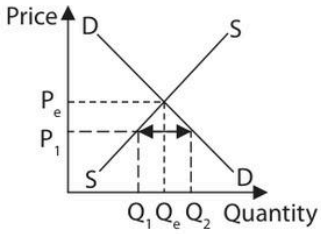
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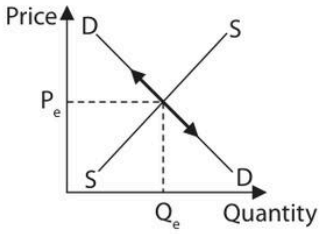
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

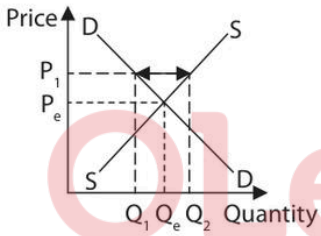
☒ **A**



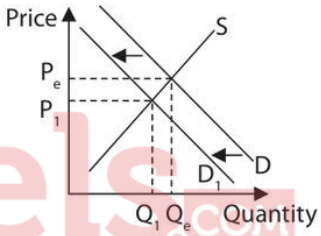
☒ **B**



☒ **C**



☒ **D**



(b) Land can be described as which **one** of the following?

(1)

☒ **A** A diseconomy of scale

☒ **B** A factor of production

☒ **C** A variable cost

☒ **D** A market failure

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4. Question 2 · part e · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part e only.

(c) State the formula for profit.

(1)

(d) Calculate the **price elasticity of supply (PES)** for a product when price increases by 30% and quantity supplied increases by 36%. You are advised to show your working.

(2)

(e) Define the term finance.

(1)

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P 5 9 9 6 3 A 0 8 2 4

4. Question 2 · part e · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part e only.

The Irish Artisan Charcoal Company (IACC) is the only firm producing charcoal in Ireland. Damaged trees which would otherwise have been left to rot are used to produce top quality charcoal.

(Source adapted from: https://www.limerickleader.ie/video/home/348948/watch-irish-artisan-charcoal-company-in-limerick-blazing-a-trail-with-unique-product.html)

(f) Describe the type of market structure in which the Irish Artisan Charcoal Company operates.

(2)

Street lighting is considered to be a public good.

(g) Explain **one** reason why this may cause a free rider problem.

(3)

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4. Question 2 · part e · 1 mark · Working and answer

Working and answer

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5. Question 2 · part e · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part e only.

2

Market share by firm for a market in Azerbaijan

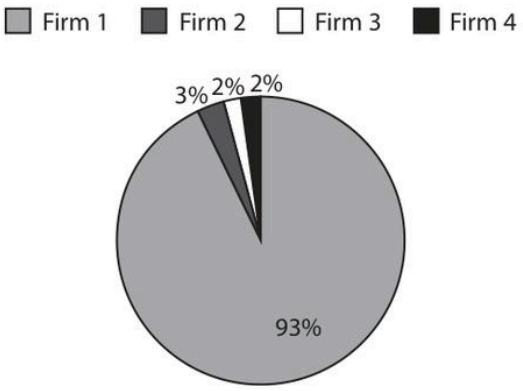


Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3? **(1)**

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit? **(1)**

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

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5. Question 2 · part e · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part e only.

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(c) State the formula for price elasticity of supply (PES).

(1)

Figure 4 shows some of the production costs in the month of May for a firm manufacturing football souvenirs in Qatar, in preparation for the 2022 World Cup.

Production costs	Qatari Riyal (QR)
Rent	5 000
Raw materials	2 000
Advertising	500
Labour (paid according to output)	15 000

Figure 4

(d) Calculate the **total variable costs** for the firm in the month of May. You are advised to show your working.

(2)

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5. Question 2 · part e · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part e only.

(e) Define the term takeover.

(1)

(f) Describe **one** reason why demand for a product usually becomes more price elastic over time.

(2)

In the UK, the speed limit for drivers in urban areas is 30 miles per hour (48 kilometres per hour).

(g) Explain **one** reason why the UK Government may use fines to reduce the negative externalities caused by drivers speeding in urban areas.

(3)

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5. Question 2 · part e · 1 mark · Working and answer

Working and answer

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6. Question 1 · part i · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

(c) What is meant by the term economies of scale?

(2)

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6. Question 1 · part i · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part i only.

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(d) State **one** example of a factor of production that can be classified as land.

(1)

(e) Define the term monopoly.

(1)

Alfie provides a dog-walking service to dog owners in his local area. After a successful first year he increased prices by 1.5% and quantity demanded fell by 1.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working.

(2)

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6. Question 1 · part i · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part i only.

(g) Using the diagram below, draw the likely effects on the market for cars of the introduction of more effective technology in production. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

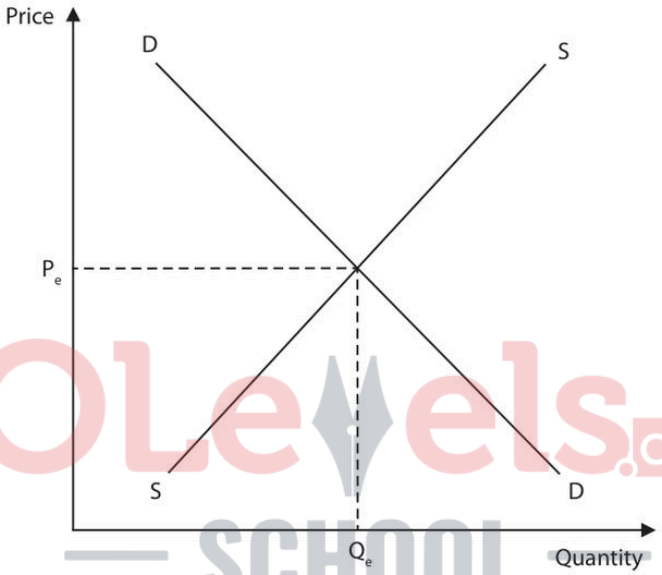


Figure 1

In 2015, the school-leaving age in England was raised from 16 to 18.

(h) Explain **one** possible effect on the supply of labour of the school-leaving age being raised.

(3)

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6. Question 1 · part i · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part i only.

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Bupa is an international firm that provides healthcare products to 32 million customers in 190 countries. The initial purpose of the firm was to provide health insurance. It has grown by offering a wider range of services. These include retirement homes for the elderly, eye care, hospital treatment, dental work and travel insurance.

(i) With reference to the data above and your knowledge of economics, analyse why Bupa may have decided to operate in a wider range of markets.

(6)

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(Total for Question 1 = 20 marks)

6. Question 1 · part i · 6 marks · Working and answer

Working and answer

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7. Question 2 · part g · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

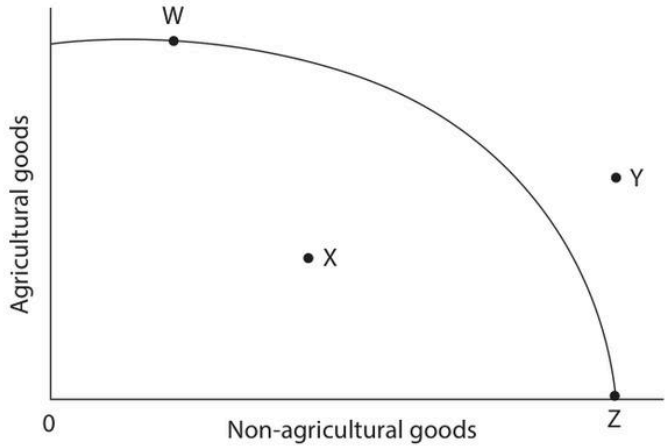


Figure 2

(a) Which **one** of the following points shows unemployed resources? **(1)**

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect **(1)**

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small. **(1)**

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7. Question 2 · part g · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

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A firm increases supply by 2.7% following a price increase of 4.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(e) Define the term price-maker.

(1)

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(f) Describe **one** reason why a computer can be a factor of production.

(2)

7. Question 2 · part g · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

Abi owns a small cafe. It is often very busy and customers may have to wait for a table. Abi is considering whether to move to a larger premises. A larger property has become available but it would cost almost double the current rent.

(g) Explain **one** factor that could affect whether Abi is able to expand her business.

(3)

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7. Question 2 · part g · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

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High pollution levels in the busy Indonesian city of Jakarta are mainly due to the large volume of traffic. There are over 17 million vehicles registered in the area, each emitting fumes into the environment. The number of vehicles is increasing.

In 2007, government regulations were introduced to reduce the volume of traffic in the city. For example, every Sunday morning, over 8 km of Jakarta's roads are traffic-free as vehicles are banned. In 2016, it was reported that air quality had improved by 65% compared to the levels before the regulations were introduced.

(h) With reference to the data above and your knowledge of economics, assess the effectiveness of government regulations when dealing with externalities such as air pollution in Jakarta.

(9)

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7. Question 2 · part g · 3 marks · Working and answer

Working and answer

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8. Question 2 · part e · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part e only.

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2 (a) Which **one** of the following products has demand that is price elastic?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	−1.5
☒ **B**	**X**	−1
☒ **C**	**Y**	−0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is a situation when firms in a growing industry all benefit from lower average costs?

(1)

☒ **A** Internal economies of scale

☒ **B** External economies of scale

☒ **C** Diseconomies of scale

☒ **D** Technical economies of scale

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(c) State **one** disadvantage to firms of increased competition.

(1)

8. Question 2 · part e · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part e only.

A firm has total fixed costs of $75 000 per month and variable costs of $525 per unit. It produces 1350 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Define the term takeover.

(1)

(f) Describe **one** reason why consumers do not always maximise their benefit from the consumption of a product.

(2)

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8. Question 2 · part e · 1 mark · Working and answer

Working and answer

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9. Question 3 · part a · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part a only.

3 (a) Which **one** of the following is the definition of a merger?

(1)

- ☒ **A** The joining together of two firms
- ☒ **B** The transfer of ownership from the government
- ☒ **C** The takeover of one firm by another firm
- ☒ **D** The creation of a competitive market

(b) Which **one** of the following is a reason why a government would introduce a minimum wage?

(1)

- ☒ **A** To increase the benefits paid by a government
- ☒ **B** To reduce the motivation of workers
- ☒ **C** To close the income gap between the rich and the poor
- ☒ **D** To ensure producers increase their profits

(c) On the blank pie chart below, draw and label the likely approximate size of employment in the primary (P), secondary (S) and tertiary (T) sectors for a developed country, such as Japan.

(3)

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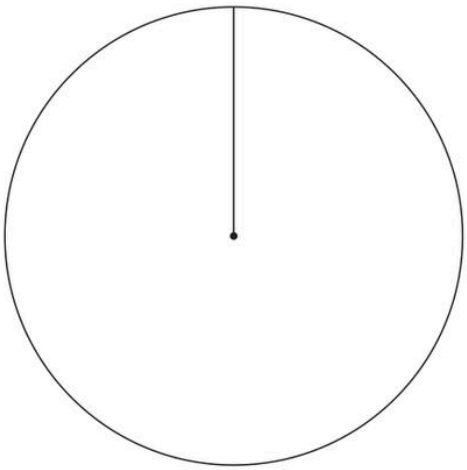


Figure 5

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9. Question 3 · part a · 1 mark · Working and answer

Working and answer

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

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4 Figure 6 shows financial data for a firm selling a selection of products.

Product	X	Y
Price	$3 000	$3 300
Quantity sold	50	40
Total revenue	$3 000 × 50	$3 300 × 40
PED	−0.62	−1.53

Figure 6

(a) Calculate the **total revenue** for the product that has a price elasticity of demand (PED) which is **inelastic**. You are advised to show your working.

(2)

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

For a number of years there has been an increase in obesity in Poland. Consumers of sugary drinks, such as Coca Cola and Fanta, now have to pay an additional 0.50 zloty ($0.11) per litre, following the introduction of a sugar tax. At the same time, there has been an increase in adverts for soft drinks. However, consumers are still buying these drinks even though they are now more expensive.

(Source adapted from: https://retailmarketexperts.com/en/news/2021-retail-tax-and-sugar-tax-come-into-force/)

(b) With reference to the data above and your knowledge of economics, analyse the reasons why consumers may not maximise their benefit when consuming sugary drinks.

(6)

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

NT Massage is a small but successful, family-run business in a residential part of Hong Kong. It offers traditional foot and head massages to local residents, many of whom have been customers for many years.

A younger member of the family, Mei, would like to expand the business. She wants to open a chain of shops offering foot and head massages in busier areas of Hong Kong. She would like her new employees to be fully trained, to advertise in hotels and to focus more attention on attracting custom from the 7.5 million population of Hong Kong.

Even though there would be competition from many other similar businesses, additional custom from tourists and business people would enable NT Massage to charge higher prices in the new shops.

(c) With reference to the data above and your knowledge of economics, evaluate whether the family should expand the business rather than keeping it small.

(12)

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

10. Question 4 · part c · 12 marks · Working and answer

Working and answer

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11. Question 2 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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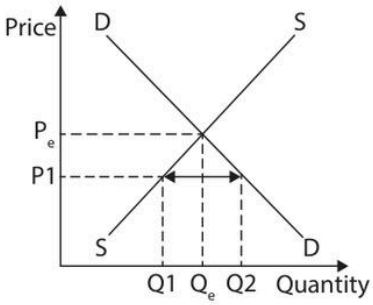
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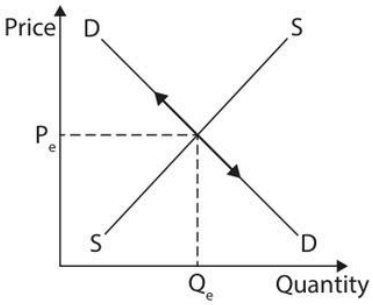
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

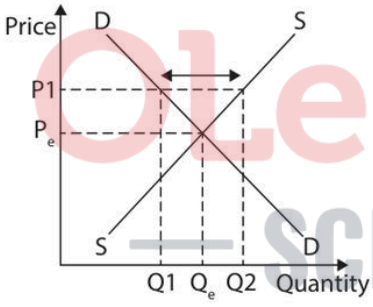
☒ **A**



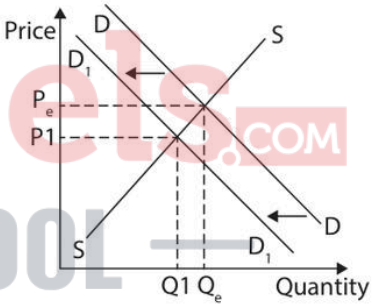
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of an oligopoly?

(1)

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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11. Question 2 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(c) Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working.

(2)

(d) What is meant by the term social costs?

(2)

(e) Describe **one** reason why innovation may be more likely to occur in a monopoly.

(2)

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11. Question 2 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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Sajad owns a shop selling smartphones in Karachi, Pakistan. The shop has been successful for several years and there is an opportunity for Sajad to open an additional shop on the other side of the city.

(f) Explain **one** reason why Sajad may decide to expand his business.

(3)

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11. Question 2 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

In January 2023, the minimum wage in the Netherlands was increased by 10.15% to €1 934.40 per month. The decision was partly due to inflation increasing to 17% during 2022.

However, the decision has been criticised because the economy is still weak following the global health crisis.

(g) With reference to the data above and your knowledge of economics, assess the likely benefits of increasing the minimum wage for employees and firms in the Netherlands.

(9)

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11. Question 2 · part f · 3 marks · Working and answer

Working and answer

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12. Question 1 · part e · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following is a definition of opportunity cost?

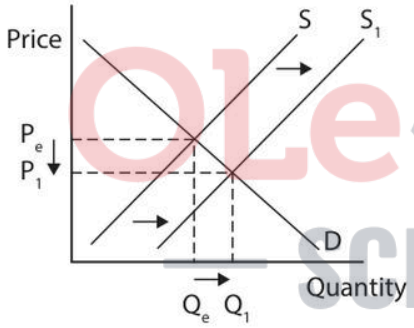
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

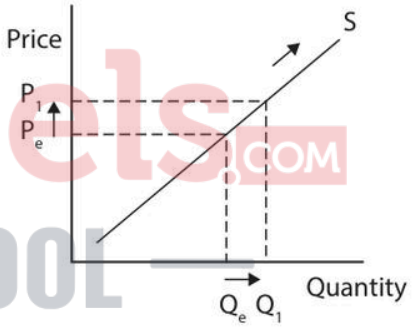
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

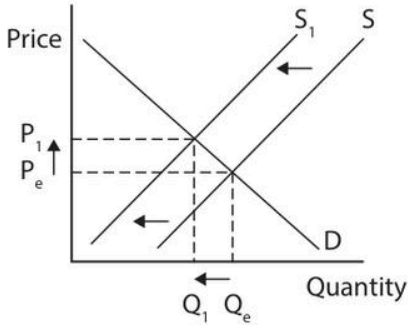
☒ **A**



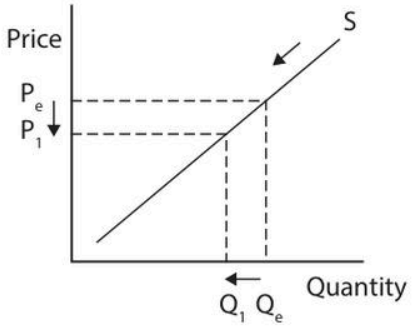
☒ **B**



☒ **C**



☒ **D**



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12. Question 1 · part e · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part e only.

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(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

(e) Define the term takeover.

(1)

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12. Question 1 · part e · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part e only.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working.

(2)

Figure 1 shows the market for rice.

(g) Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

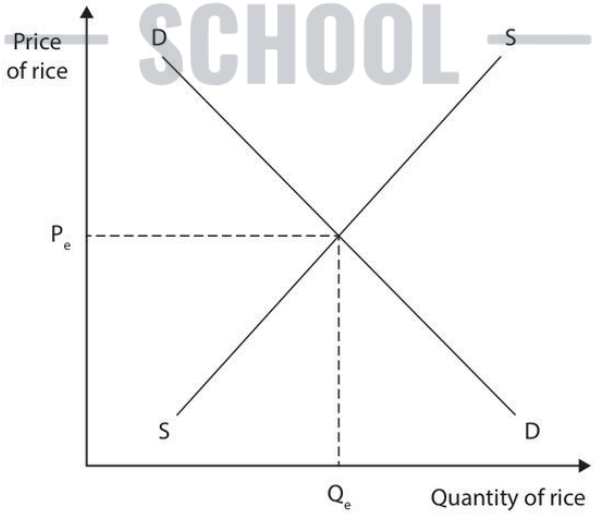


Figure 1

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12. Question 1 · part e · 1 mark · Working and answer

Working and answer

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13. Question 4 · part b · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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4 Figure 6 shows the population of Finland in the years 2021, 2022 and 2023.

Year	Population
2021	5,541,075
2022	5,569,299
2023	5,601,185

Figure 6

(a) Calculate, to two decimal places, the **percentage change in the population** of Finland between 2021 and 2023. You are advised to show your working.

(2)

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13. Question 4 · part b · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

Malaysian company Air Asia was founded in 1993 as a low-price airline. It has grown to offer a wider range of services, including hotels, holiday packages, airport transfers and travel insurance.

It offers flights to over 150 destinations in 25 countries.

(b) With reference to the data above and your knowledge of economics, analyse why Air Asia may benefit from spreading its risk across a wider range of markets.

(6)

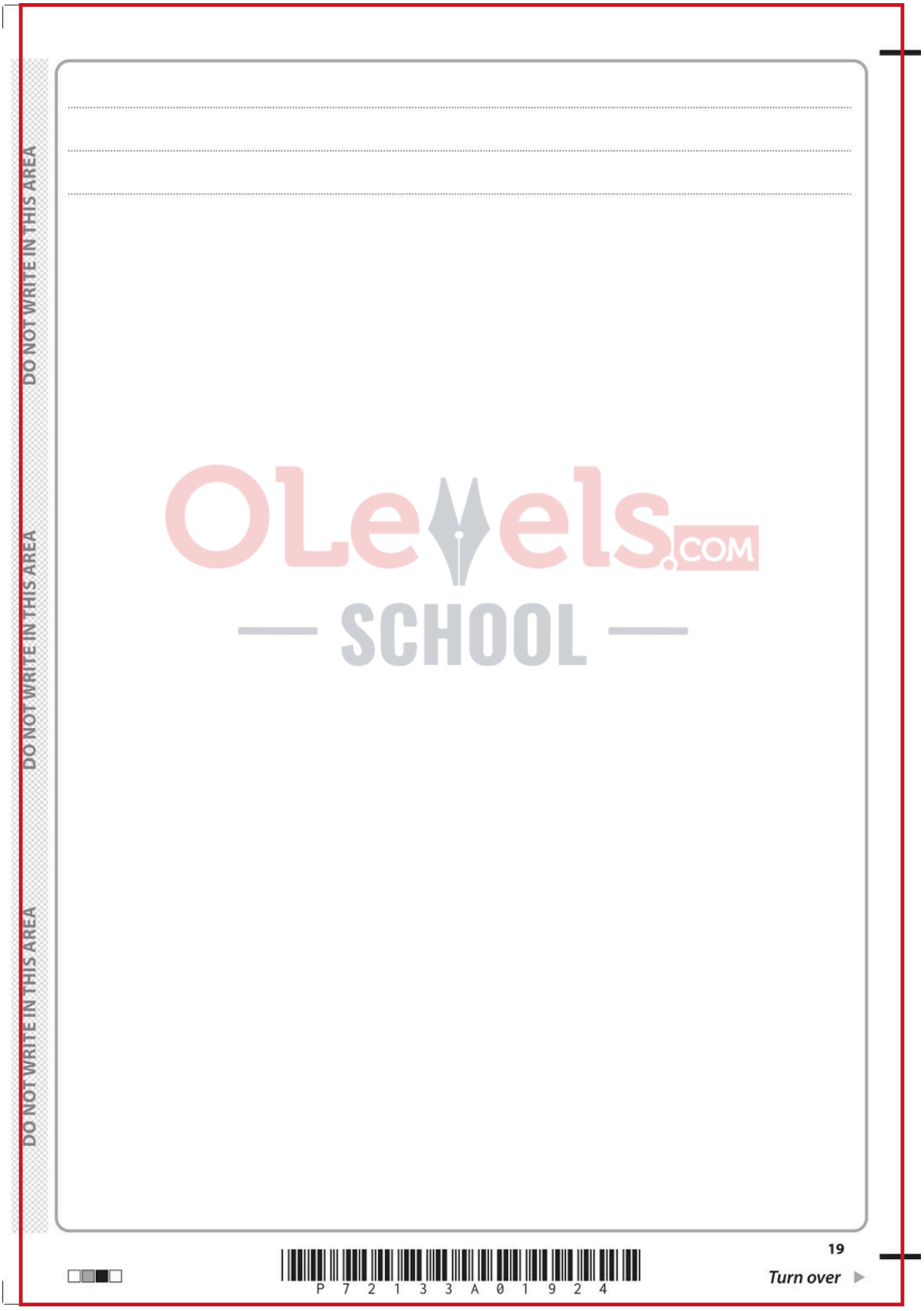
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13. Question 4 · part b · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.



13. Question 4 · part b · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

In 2024, the Latvian Government increased the national minimum wage from €620 per month to €700 per month.

A study had shown that 16% of the population of Latvia were paid the minimum wage. Although this was the lowest percentage for five years, many people had been struggling to pay bills following a rise in the prices of food, energy and clothing.

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in the minimum wage would benefit everyone in an economy such as Latvia.

(12)

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13. Question 4 · part b · 6 marks · Working and answer

Working and answer

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14. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

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4 Figure 4 shows profit for a firm between 2021 and 2023.

Year	Profit ($)
2021	211 600
2022	213 700
2023	214 100

Figure 4

(a) Calculate, to two decimal places, the **percentage change in profit** for the firm between 2021 and 2023. You are advised to show your working.

(2)

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14. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

The market for petrol in Uganda has five main companies, each with a distinctive logo and colours representing its brand. These companies benefit considerably from barriers to entry, due to very high set-up costs.

Each company offers something different to stand out from its competitors. Vivo Energy offers excellent customer service. Total Energies aims to improve its impact on the environment. Nile Energy has a reputation for modern facilities. Hass Petroleum uses a loyalty card to retain customers and Stabex International focuses on having motivated employees.

(b) With reference to the data above and your knowledge of economics, analyse why the market for petrol in Uganda could be described as an oligopoly.

(6)

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14. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

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14. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

Řešení has been a successful accountancy firm in Brno, Czechia, since it began in 2007. The firm employs a small team of highly qualified accountants. They manage the financial needs of its customers, which are both established and new businesses. The accountants are usually very busy due to the excellent reputation the firm has achieved.

The Managing Director, Daniella, is considering expanding the firm. She would like to open another office in Prague, the capital of Czechia. Approximately 12% of Czechia's businesses are located in Prague compared to only 3.5% in Brno, which is over 200 km away.

Even though there would be more competition from other accountancy firms in Prague, the average price of goods and services in the capital is more expensive, enabling Řešení to charge a higher price for its services.

(c) With reference to the data above and your knowledge of economics, evaluate the likely benefits to Řešení of expanding the firm to Prague.

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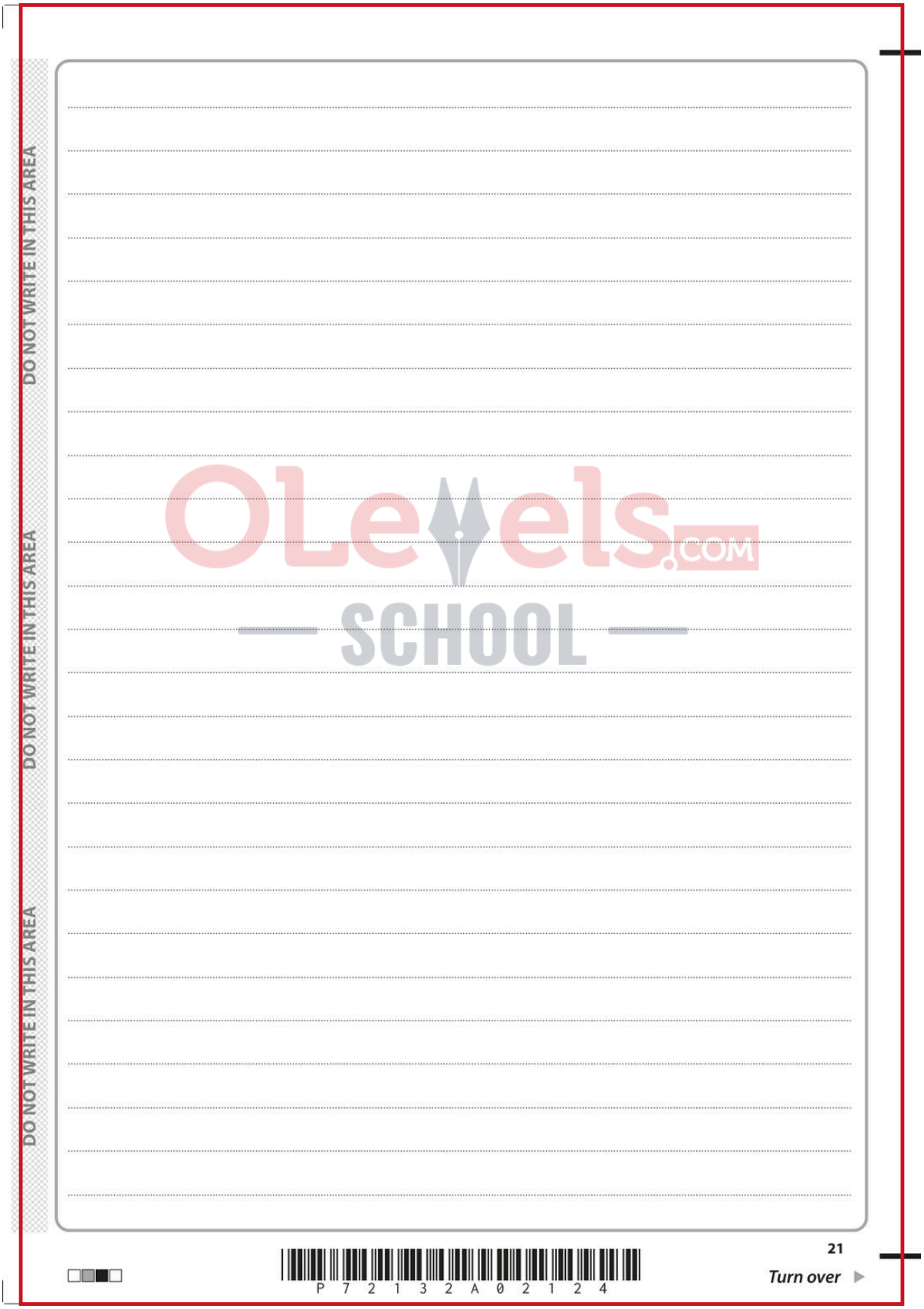
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14. Question 4 · part c · 12 marks

2025 JUN · Paper 01

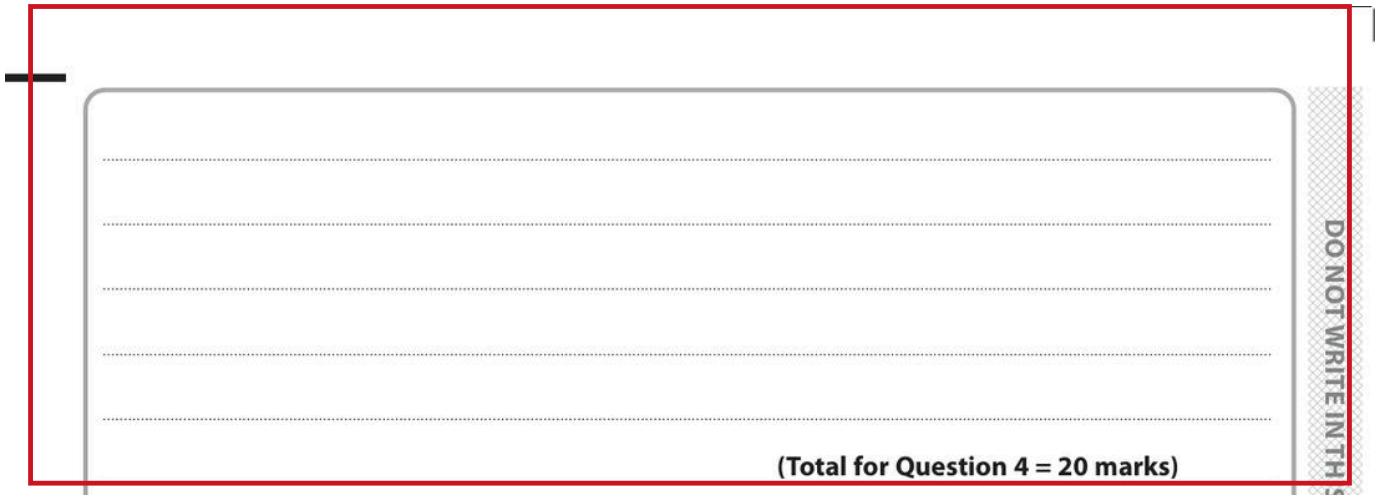
Further practice · Attempt part c only.



14. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.



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14. Question 4 · part c · 12 marks · Working and answer

Working and answer

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